

Key Takeaways

Key Takeaway 1

Treat compensation as a strategic business capability. Only about one-quarter of organizations report having an advanced or innovative compensation strategy, yet these organizations are far more likely to achieve effective compensation outcomes. Position compensation as a strategic function that supports business objectives, workforce planning, talent attraction, and employee retention rather than viewing it solely as an administrative activity.

Key Takeaway 2

Regularly review and adapt your compensation strategy. Business conditions, labor markets, and employee expectations continue to evolve. Establish a regular review process to evaluate whether your compensation strategy remains competitive, aligned with organizational priorities, and responsive to changing workforce needs. Continuous improvement is more effective than infrequent large-scale redesigns.

Key Takeaway 3

Deliver a total rewards experience that reflects employee needs. Competitive salaries alone are no longer sufficient to attract and retain talent. Regularly assess employee preferences and strengthen the overall rewards experience through benefits, flexibility, career development, recognition, and well-being programs that address the diverse needs of today's workforce.

Key Takeaway 4

Strengthen the link between pay and performance. Weak alignment between pay and performance continues to be a significant challenge. Review performance management and compensation processes together to ensure rewards recognize meaningful contributions, reinforce organizational priorities, and are applied consistently across the organization.

Key Takeaway 5

Make fair and transparent pay practices part of everyday decision-making. More mature organizations are substantially more likely to conduct pay equity reviews, communicate their compensation philosophy, and actively manage employee perceptions of fairness. Regularly evaluate pay practices, communicate how compensation decisions are made, and use market data to support equitable and consistent outcomes.

Key
Takeaway **6**

Measure outcomes, not just compensation costs. Many organizations monitor salary structures and workforce costs, but fewer evaluate whether compensation programs improve attraction, retention, or employee experience. Expand compensation dashboards to include workforce outcome measures such as offer acceptance rates, retention related to pay, internal equity, employee perceptions of fairness, and market competitiveness.

Key
Takeaway **7**

Use data to improve compensation decisions. Organizations with more mature compensation strategies rely on a broader range of market, workforce, and compensation analytics. Integrate internal workforce data with external market information to support more informed, consistent, and evidence-based compensation decisions.

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Takeaway **8**

Adopt AI gradually and focus on practical business value. Organizations see the greatest opportunity for AI in automating manual processes, analyzing market trends, and improving compensation analysis. Begin with practical applications that improve efficiency and decision support before expanding into more advanced uses.

Key
Takeaway **9**

Establish strong governance for AI in compensation. As AI becomes more integrated into compensation processes, ensure that human judgment remains central to compensation decisions. Develop clear governance for AI use, monitor data quality, validate AI-generated insights, and regularly assess fairness, transparency, and compliance.

Key
Takeaway **10**

Build compensation capabilities for the future. The organizations that achieve the strongest compensation outcomes combine strategic planning, fair pay practices, effective communication, analytics, and responsible technology adoption. Invest in developing these capabilities over time through ongoing learning, process improvement, and technology investments that support long-term organizational success.